Tompkins Insurance

SAMPLE CASE · HYPOTHETICAL

ESTATE PRESERVATION · CARRIER COMPARISON

$10 million of permanent coverage, three carriers, one decision

A side-by-side comparison of corporate-owned participating whole life from Canada Life, Manulife and Sun Life, prepared for a fictional client to show how we present a recommendation.

PREPARED FOR
Jonathan R. Ashcombe (fictional)

POLICY OWNER
Ashcombe Holdings Inc.

DATE
November 10, 2026

STATUS
Modelled sample, not carrier illustrations

THE CLIENT

A founder whose estate will owe more tax than it holds in cash

Jonathan is 52 and owns a manufacturing business through a holding company. Most of his $34.5 million net worth sits in private shares and real estate. On his death those assets are deemed sold, and the tax comes due whether or not anything has been sold.

Insured	Male, age 52, non-smoker, standard rates assumed
Residence	Oakville, Ontario
Family	Spouse Claire (50), three adult children
Structure	Ashcombe Holdings Inc. owns the operating company
Objective	Fund the terminal tax bill and keep the business in the family
Design	$10,000,000 participating whole life, 20-pay, dividends buying paid-up additions, holding company as owner and beneficiary

Net worth and the tax exposure

Operating company shares	$21.0M
Holding company portfolio	$6.5M
Real estate (home and cottage)	$4.8M
Registered plans	$2.2M
Total net worth	**$34.5M**

Estimated tax at death is about **$7.4M today** and about **$19M by age 85** if asset values grow 3% a year.

THE ANSWER IN BRIEF

All three carriers cover the projected tax bill; they differ on cost, cash and resilience

$23.73M – $26.83M	$455,900 – $479,600	3.93% – 4.55%	Year 7 – 10
Projected death benefit at age 85	Annual premium for 20 years	Tax-free return on premiums at age 85	Cash value passes premiums paid

SIDE BY SIDE

Carrier comparison

$10,000,000 participating whole life, 20-pay	Canada Life Estate Achiever	Manulife Manulife Par	Sun Life Sun Par Protector II
FUNDING			
Annual premium Years 1–20	$468,200	**$455,900**	$479,600
Total premiums paid	$9.36M	**$9.12M**	$9.59M
Assumed dividend scale interest rate Not guaranteed	5.75%	6.35%	6.25%
CASH SURRENDER VALUE — CURRENT SCALE			
Year 10 (age 62)	**$5.13M**	$4.65M	$5.08M
Year 20 (age 72) Premiums end	$13.27M	$12.62M	**$13.32M**
Age 85	$22.82M	$22.40M	**$22.82M**
Year cash value exceeds premiums paid	**Year 7**	Year 10	Year 9
DEATH BENEFIT — CURRENT SCALE			
Year 10 (age 62)	$11.14M	**$11.68M**	$11.55M
Year 20 (age 72)	$14.56M	**$17.16M**	$16.32M
Age 85 Planning horizon	$23.73M	**$26.83M**	$24.46M
Age 90	$29.12M	**$30.69M**	$29.24M
ESTATE EFFICIENCY AT AGE 85			
Return on premiums at death (IRR)	3.93%	**4.55%**	3.95%

$10,000,000 participating whole life, 20-pay	Canada Life Estate Achiever	Manulife Manulife Par	Sun Life Sun Par Protector II
Pre-tax equivalent yield At 50.17% passive rate	7.88%	**9.14%**	7.93%
Estimated capital dividend account credit	$16.81M	**$24.11M**	$19.16M
DOWNSIDE — DIVIDEND SCALE LESS 1%			
Cash surrender value, year 20	$11.92M	$11.37M	**$11.98M**
Death benefit, age 85	$18.86M	**$19.72M**	$19.11M
Guaranteed cash value, year 20 No dividends	**$8.44M**	$7.60M	$8.39M

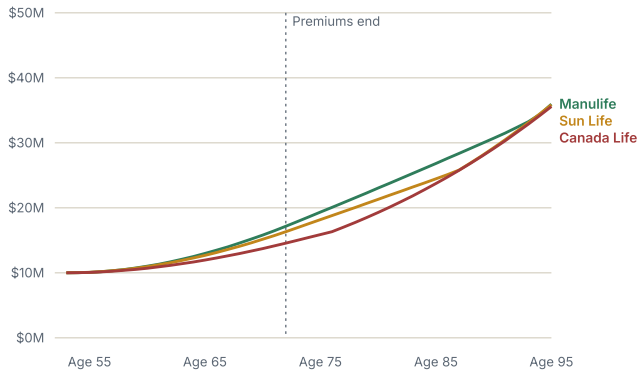
— Most favourable value in each row. Dividend scale rates are assumptions for this sample and are not guaranteed.

OVER TIME

How the three policies grow

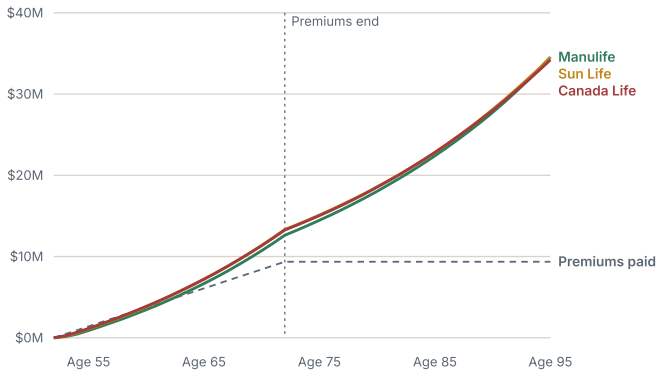
Projected death benefit

Current dividend scale, paid-up additions



Projected cash surrender value

Current dividend scale, against premiums paid



WHAT THE NUMBERS SAY

Observations

1. **Manulife projects the largest estate value.** $26.83M at age 85 on the current scale, a 4.55% tax-free return on premiums, equivalent to 9.14% before tax inside the holding company.
2. **Sun Life builds accessible cash value fastest.** $13.32M when premiums end in year 20, and cash value passes premiums paid in year 9. This matters if the policy may later be pledged as collateral.
3. **Manulife carries the lowest outlay.** $455,900 a year, $0.47M less over 20 years than the highest premium.
4. **Canada Life holds up best if dividends fall.** With the scale 1% lower, its age-85 death benefit keeps 79% of the current-scale value.

Where we would take this next

Run the carriers' own illustrations at the client's underwritten rate class, add a joint last-to-die version with Claire so the benefit lands when the tax does, and test the lead design against a 10-pay and a term-blended alternative before recommending a carrier.

THE DETAIL

Year-by-year ledgers

Canada Life Estate Achiever

Year	Age	Annual premium	Premiums paid	Guaranteed cash value	Current scale (5.75%)		Scale less 1%	
					Cash value	Death benefit	Cash value	Death ben
1	53	$468,200	$468,200	$206,229	$253,508	$10,000,000	$250,979	$10,000,0
5	57	$468,200	$2,341,000	$1,765,633	$2,173,044	$10,240,226	$2,113,759	$10,130,9
10	62	$468,200	$4,682,000	$3,859,558	$5,125,964	$11,142,198	$4,860,049	$10,612,8
15	67	$468,200	$7,023,000	$6,079,895	$8,764,950	$12,612,327	$8,090,799	$11,378,4
20	72	$468,200	$9,364,000	$8,438,538	$13,271,992	$14,560,057	$11,920,177	$12,396,9
25	77	—	$9,364,000	$8,944,528	$16,356,460	$17,010,719	$14,022,574	$14,583,4
30	82	—	$9,364,000	$9,481,776	$20,151,993	$20,958,073	$16,475,777	$17,134,8
33	85	—	$9,364,000	$9,822,027	$22,818,306	$23,731,038	$18,133,772	$18,859,1
38	90	—	$9,364,000	$10,424,337	$28,004,663	$29,124,850	$21,231,811	$22,081,0
43	95	—	$9,364,000	$11,064,990	$34,210,669	$35,579,096	$24,756,941	$25,747,2

Manulife Manulife Par

Year	Age	Annual premium	Premiums paid	Guaranteed cash value	Current scale (6.35%)		Scale less 1%	
					Cash value	Death benefit	Cash value	Death bene
1	53	$455,900	$455,900	$99,250	$142,762	$10,000,000	$141,303	$10,000,00
5	57	$455,900	$2,279,500	$1,460,526	$1,848,692	$10,314,929	$1,801,508	$10,200,82
10	62	$455,900	$4,559,000	$3,387,741	$4,650,671	$11,682,276	$4,418,762	$11,055,88
15	67	$455,900	$6,838,500	$5,429,984	$8,180,278	$14,005,825	$7,569,001	$12,472,81
20	72	$455,900	$9,118,000	$7,597,306	$12,624,481	$17,157,346	$11,370,978	$14,344,46
25	77	—	$9,118,000	$8,043,465	$15,805,648	$20,801,230	$13,636,495	$16,438,05
30	82	—	$9,118,000	$8,511,299	$19,680,255	$24,542,603	$16,317,619	$18,499,64
33	85	—	$9,118,000	$8,803,338	$22,397,099	$26,826,898	$18,171,954	$19,720,05
38	90	—	$9,118,000	$9,312,789	$27,750,916	$30,691,233	$21,805,348	$22,677,56
43	95	—	$9,118,000	$9,861,591	$34,548,528	$35,930,469	$26,092,864	$27,136,57

Sun Life Sun Par Protector II

Year	Age	Annual premium	Premiums paid	Guaranteed cash value	Current scale (6.25%)		Scale less 1%	
					Cash value	Death benefit	Cash value	Death ben
1	53	$479,600	$479,600	$162,769	$210,138	$10,000,000	$208,028	$10,000,0
5	57	$479,600	$2,398,000	$1,695,611	$2,105,409	$10,311,638	$2,049,482	$10,194,7
10	62	$479,600	$4,796,000	$3,796,540	$5,083,011	$11,548,532	$4,823,752	$10,952,1
15	67	$479,600	$7,194,000	$6,024,247	$8,763,582	$13,593,096	$8,098,536	$12,173,0
20	72	$479,600	$9,592,000	$8,390,623	$13,321,393	$16,318,458	$11,981,827	$13,757,7
25	77	—	$9,592,000	$8,893,205	$16,409,538	$19,421,816	$14,120,840	$15,502,6
30	82	—	$9,592,000	$9,426,500	$20,167,553	$22,560,602	$16,645,497	$17,311,3
33	85	—	$9,592,000	$9,764,005	$22,823,040	$24,458,836	$18,376,998	$19,112,0
38	90	—	$9,592,000	$10,362,072	$28,113,048	$29,237,570	$21,623,471	$22,488,4
43	95	—	$9,592,000	$10,998,898	$34,489,385	$35,868,960	$25,328,230	$26,341,3

Assumptions and important information

This is a sample. The client, the holding company and every figure in this document are fictional. The values were produced by a simplified projection model for demonstration; they were not generated by Canada Life, Manulife or Sun Life illustration software and are not quotes, offers or carrier-approved illustrations. Actual premiums, values and dividend scales will differ.

Basis. Male, age 52 nearest, non-smoker, standard risk, Ontario. $10,000,000 basic coverage, premiums payable annually for 20 years, dividend option paid-up additions, no riders, no policy loans or withdrawals. Product names are shown to indicate the type of plan each carrier offers in this category.

Dividends are not guaranteed. Current-scale values assume each carrier's assumed dividend scale interest rate stays unchanged for the life of the policy. The alternate scale reduces that rate by one percentage point in all years. Guaranteed cash values assume no dividends are ever paid.

Tax. Estimated tax at death assumes Ontario top marginal rates, a 50% capital gains inclusion rate and nominal cost base on private shares. Pre-tax equivalent yield uses a 50.17% rate on corporate passive income. Capital dividend account credit is the death benefit less an estimated adjusted cost basis. This is not tax or legal advice.